



Your home of value!

UCHUMI SUPERMARKETS LTD

AUDITED

CONSOLIDATED INCOME STATEMENT

FOR THE YEAR ENDED

	30th June 2011	30th June 2012	30th June 2013
	Kshs'000	Kshs'000	Kshs'000
Total Net Sales	10,840,728	13,918,530	14,368,643
Gross Profits	2,348,776	3,139,710	3,679,204
Operating Expenses	(1,830,313)	(2,711,285)	(3,177,240)
Profit from Operating Activities	518,463	428,425	501,964
Finance Costs	(3,630)	(25,082)	(16,062)
Profit Before Taxation	514,833	403,343	485,902
Taxation	(124,408)	(129,366)	(128,892)
Profit After Taxation	390,425	273,977	357,010
Profit Per Share	1.47	1.03	1.35

CONSOLIDATED BALANCE SHEET

ASSETS

NON CURRENT ASSETS

2,607,070	3,347,742	3,848,218
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CURRENT ASSETS

1,397,650	1,594,146	1,725,315
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TOTAL ASSETS

4,004,720	4,941,888	5,573,533
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SHAREHOLDERS' EQUITY AND LIABILITIES:

CAPITAL AND RESERVES

Share Capital	1,327,133	1,327,133	1,327,133
Reserves	952,032	1,330,677	1,598,279
	2,279,165	2,657,810	2,925,412

NON CURRENT LIABILITIES

Term Loans	183,368	80,309	200,000
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CURRENT LIABILITIES

1,542,187	2,203,769	2,448,121
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TOTAL SHAREHOLDERS' EQUITY AND LIABILITIES

4,004,720	4,941,888	5,573,533
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The accounts were audited by Ernst & Young and received an unqualified report.

Commentary on 2012/13 Performance

OVERVIEW

East African economies performed well in 2012 despite a few challenges. The GDP growth in Kenya, Uganda and Tanzania was 4.2%, while in previous year 4.4%, 4.4% and 7% respectively. Kenya's economy continued to record slow growth in 2012, primarily driven by tourism, construction and agriculture. Uganda's economy stabilized in 2012 though the 4.4% growth was the lowest in over a decade. Inflation fell to 14.6% from 18.7% in 2011. The overall macroeconomic performance in Tanzania was strong with inflation declining to single digits with the main drivers of growth being telecommunications, transport, manufacturing ,construction and trade.

Though there was a general decline in inflation in the East African economies, the rate was still high and this translated in to lower unit consumption.

GROWTH

Uchumi continued actualizing the Growth phase of the then Rescue Plan. During the 2012/13 financial year , we opened the Ongata Rongai in August 2012, Natete in Kampala and the Eldoret Sugarland Plaza branches in December 2012. Between July 2013 and December 2013, we plan to open the Kisii branch (already open), Mombasa Island, Juja, Maua and Kisumu branches to increase traffic and grow sales revenue to cushion against the decreased per capita consumption while positioning our retail networks competitively. By the close of the financial year 2012/13, our total branch network stood at 28 (i.e 22 in Kenya, 1 in Tanzania and 5 in Uganda).

PERFORMANCE

The Uchumi Group has continued to record growth and profits for the seventh consecutive year since reopening. While the economic and social environments were negatively impacted by challenges like the Euro debt crisis, general elections (effect in Uganda and Kenya), freezing of public spending and effect of devolution in Kenya, high cost of living and borrowing affecting infrastructural development and customer propensity to spend among others, sales revenue and gross profits grew by 3.2% (or Kshs 450 million, ie from Kshs.13.918 billion to Kshs 14.369) and 17.2% (or Kshs.539 million, ie from Kshs 3.139 billion to Kshs 3.679 billion) respectively compared to 2011/12. Annual customer numbers increased by 10% to 24 million relative to the 2011/12 levels of 22 million. Operating costs also grew in line with operations as well as a result of runaway inflation caused by the increasing cost of global fuel prices. Trade margins improved from 18% in 2011/12 to 19.26% in 2012/13 as a result of continued focus on management of cost of sales. Finance costs dropped by 64% due to reduction in outstanding loans. Consequently, profits before tax during the year (Kshs486 million improved by 20.6% from the 2011/12 level of Kshs 403 million. Earnings per Share also grew to Kshs 1.35, up from Kshs 1.03 per in the last financial year.

The balance sheet grew by 12.8% (or Kshs.632 million), from Kshs.4,942 Million in 2011/12 to Kshs. 5,574 Million in the year 2012/13.Term loans principal of Kshs.104 million was settled during the year.

DIVIDENDS

Due to the expected sustained future growth in profits, the Board of Directors is recommending for approval by the shareholders a first and final dividend of Kshs 0.30 per ordinary share.

CLOSURE OF REGISTER AND DATE OF PAYMENT

The register of members will be closed on Friday ,29th November 2013.If approved , the dividend will be paid, net of with-holding tax where applicable, on or about Friday 10th January 2014 to the shareholders whose names appear in the Register of Members at the close of business on Thursday 28th November 2013.

OUTLOOK

The Uchumi Group is expected to continue to grow in performance and business base with maturity of the growing new retail networks and the adopted cautious strategic approach in the Eastern African region, an initiative that will be fully supported by the Rights Issue and the positive effect of Cross Listing in the EAC countries.

By order of the Board.

Ms KHADIJA MIRE
CHAIRPERSON

DR. JONATHAN CIANO, MBS
CHIEF EXECUTIVE OFFICER